

INCOME MULTIPLIER

= $10 \times \text{Last working year salary}$

= $10 \times [\text{current salary} \times (1 + \text{annual \% increase in salary})^n]$

where, n = number of years to retirement

EXPENSE MULTIPLIER

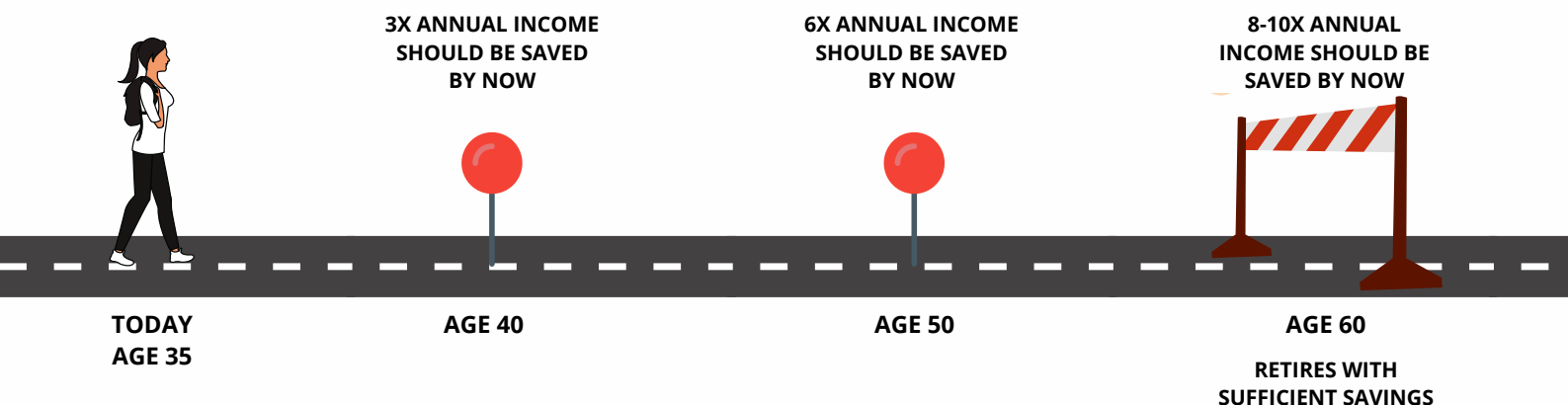
= $24 \times \text{Last working year expense}$

= $24 \times [\text{Current annual expense} \times (1 + \text{CPI Inflation \%})^n]$

where, n = number of years to retirement

SAVING SUFFICIENCY METHOD

In this method, we do not estimate the amount that we will need. Once again, we use a litmus test to evaluate if our current savings towards retirement planning is enough to meet our goal of retirement or not. So, the objective here is- at 40 we should have 3 times our annual income saved towards retirement, at 50, we should have 6 times our then annual income and at 60, 8-10 times. Notice that our income will also increase over the years, so we should have the multiple of the salary then which means, 3 times of salary at 40, then, 6 times of salary at 50 and so on. This is a relatively simple method, suitable for people who have started planning for retirement quite early in life. This can mostly be the case for stable job owners. This is very difficult for those running their businesses.



Now that we have discussed the 3 methods that can be used to evaluate retirement needs, we can use any of them, whichever makes us comfortable. Please note that each of the methods can give varying numbers. So, what we can do is, select any method and whichever gives us the lowest number, we can follow that. The bottom line is- all three methods work.